

was uncomfortable shorting. Instead he wanted to own the stock at a lower price. "I decided to buy the stock [instead of shorting it] after it reached the measure rule target."

He computed the height of the triangle and discovered that if price dropped to the target, it would bottom at 12.50.

Jacob watched the stock each day. He saw it break out downward and begin declining. The first time it reached the target price and recovered a bit, he suspected the stock was near its low. At least, that is what he hoped.

On 19 October 1992, "I bought 200 shares at the close of 12.50, at exactly the target price I predicted." He placed a stop-loss order at 11.13, slightly below the prior December's low of 11.25, a support level. Then, he looked at the possible reward and believed the stock would rise to its old high of 17.

He sat back and waited. It didn't take long for the stock to bottom out and start its climb.

In mid-November, Jacob hoped the trend was the beginning of a measured move up. He calculated the difference from the low near where he bought the stock to the most recent high and came up with a value of 2.63. He added this to the current closing price and computed a new target price of 17.50. This number was quite close to his original price target of 17.

Over the next few days, the stock started moving up again.

By early December it had hit his new price target and the measured move was complete. Jacob decided to raise his stop-loss point to 16, the top of a support layer. If the stock sold at 16, he would have a gain of 28%, a respectable return. The results pleased him so far, but he worried that price would hit his stop as the stock consolidated.

Just after the New Year the stock started climbing again and he held on for the ride. He kept raising his stop until he was taken out at 23, to which the stock declined in mid-February 1993. After expenses, this trade made him nearly \$2,000, substantially more than his initial estimate.